

1.

CASE #	CASE NAME	HEARING NAME
CVPS2403909	PALM DESERT SENIOR SOFTBALL ASSOCIATION VS GARCIA	HEARING RE: MOTION PLAINTIFFS' MOTION FOR AN ORDER PERMITTING PRETRIAL DISCOVERY OF DEFENDANTS' FINANCIAL CONDITION PURSUANT TO CIVIL CODE § 3295(C) BY PALM DESERT SENIOR SOFTBALL ASSOCIATION, JAMES W. SEAVEY, VERNA NORRIS

Tentative Ruling: Granted.

Court finds substantial probability that Plaintiffs can prove fraud and independently, malice and oppression. Protected discovery is authorized of both Defendant's financial condition and profits arising from the wrongful conduct alleged in the operative complaint. Completion ordered by September 2, 2026 of responses to interrogatories and inspection demands of relevant documents and competent witnesses. The protective terms and tax return limitations must remain in place.

Moving party to provide notice pursuant to CCP 1019.5.

Plaintiffs' claims arise from the underlying action entitled Palm Desert Senior Softball Association v. Senior Softball of Palm Desert, Case No. PSC2000536 (the "Underlying Action"). (FAC, ¶ 5.) The Underlying Action involved a dispute between Plaintiff Seavey and several former officers of PDSSA, who had grown dissatisfied with participating in softball organized by PDSSA and had formed a new organization, Senior Softball of Palm Desert ("SSPD"). In the Underlying Action, PDSSA sought an injunction to prevent SSPD from operating under its name, which PDSSA contended was too similar to PDSSA's name. PDSSA also sought the return of softball equipment that PDSSA contended had been improperly taken from it. (Garcia Dec. ¶ 5.)

In this action, Plaintiffs contend that Defendants represented "PDSSA or Seavey, or both Plaintiffs PDSSA and Seavey, and PDSSA's directors include Plaintiffs Seavey and Norris." (FAC, ¶ 5.) Plaintiffs assert Defendants entered into an engagement agreement with PDSSA. (FAC, ¶ 9.) However, Plaintiffs allege that this agreement is "void" due to fraud in the execution. (FAC, ¶ 10.) Nevertheless, Plaintiffs assert that Defendants filed a notice of settlement in the Underlying Action, despite PDSSA not agreeing to settle the case or authorizing settlement. (FAC, ¶¶ 19-20.) Plaintiffs also allege that Defendants failed to comply with trial preparation rules and failed to adequately communicate with PDSSA regarding the status of the Underlying Action. (FAC, ¶¶ 22-28, 30.) Plaintiffs also allege that Defendants failed to avoid a conflict of interest when a disagreement arose between Plaintiffs and Defendants as to whether a valid settlement existed in the Underlying Action. (FAC, ¶¶ 33-35.) Plaintiffs also allege that Defendants committed fraud regarding the identity of the "client" under its engagement agreement, and as to Seavey's ability to execute a settlement agreement. (FAC, ¶¶ 60-61, 79-84.)

Based on these allegations, the operative First Amended Complaint alleges (1) breach of fiduciary duty; (2) fraud, misrepresentation and deceit; (3) extrinsic fraud of the court; (4) attorney's professional negligence; and (5) money had and received.

Plaintiffs PDSSA, Seavey, and Norris move under CC 3295 (c) for an order permitting pretrial discovery of the financial condition and wrongful profits of defendants Aaron F. Garcia and Law Offices of Aaron F. Garcia, a Professional Corporation. The Motion is made on the ground that there is a substantial probability Plaintiffs will prevail on their claim for punitive damages under

Civil Code § 3294. This First Amended Motion supersedes and corrects Plaintiffs' motion filed June 24, 2026.

Plaintiffs contend that Garcia's conduct was a continuous course of self-dealing, and any single facet of it makes it very likely Plaintiffs will prevail under CC § 3294. The proof is Garcia's own writing, sworn testimony, and discovery admissions, set against his client's contemporaneous, written instruction to correct the record to the facts – what *Jabro* contemplated the Court can weigh without trying the case. (*Jabro v. Superior Court* (2002) 95 Cal.App.4th 754, 758-759.)

In Opposition, Plaintiffs contend that (1) the motion seeks relief that is moot because Plaintiffs cannot conduct discovery consistent with the discovery cut-off; (2) Plaintiffs have not shown that they are very likely to establish malice, oppression, or fraud; (3) Punitive damages must be shown by clear and convincing evidence, and are appropriate only in the clearest of cases; (4) Plaintiffs have not demonstrated a strong likelihood that they will recover punitive damages.

In Reply, Defendants contend that the requested order would be useless because ordinary fact discovery closes on September 2, 2026, and that the record contains an "absolute paucity of evidence showing intent to cause injury, despicable conduct, or intent to deprive Plaintiffs of their property" but the opposing evidence shows otherwise.

Financial Condition of Defendant

While pretrial discovery of a defendant's financial condition is generally not permitted, "[u]pon motion by the plaintiff supported by appropriate affidavits and after a hearing, if the court deems a hearing to be necessary, the court may at any time enter an order permitting the discovery otherwise prohibited by this subdivision if the court finds, on the basis of the supporting and opposing affidavits presented, that the plaintiff has established that there is a substantial probability that the plaintiff will prevail on the claim pursuant to § 3294." (Civ. Code, § 3295(c); see *Jabro v. Superior Court* (2002) 95 Cal.App.4th 754, 756.) "Such order shall not be considered to be a determination on the merits of the claim or any defense thereto and shall not be given in evidence or referred to at the trial." (*Ibid.*)

"[B]efore a court may enter an order permitting discovery of a defendant's financial condition, it must (1) weigh the evidence submitted in favor of and in opposition to the motion for discovery, and (2) make a finding that it is very likely the plaintiff will prevail on his claim for punitive damages." (*Jabro*, supra, 95 Cal.App.4th at 758.) "In this context, a 'substantial probability' of prevailing on a claim for punitive damages means that it is 'very likely' that the plaintiff will prevail on such a claim or there is a 'strong likelihood' that the plaintiff will prevail on such a claim." (*I-CA Enterprises, Inc. v. Palram Americas, Inc.* (2015) 235 Cal.App.4th 257, 283.)

Here, this motion is governed by CC § 3294 (c), which permits pretrial discovery of a defendant's financial condition only where the court finds, on the supporting and opposing affidavits, a "substantial probability that the plaintiff will prevail on the claim pursuant to § 3294.

Defendants' mootness argument assumes ordinary response periods cannot be altered; (Opp., page 11.) § 3295(c) authorizes the Court "at any time" to permit discovery of the profits and financial condition described in subdivision (a). CCP §§ 2030.260(a) and 2031.260(a) permit the Court, on motion, to shorten response periods for interrogatories and inspection demands, and § 2025.270(d) permits shortened deposition notice on motion or ex parte application for good cause shown. Plaintiffs ask the Court to **authorize immediate service after the August 24 hearing and shorten the written-response periods so verified responses and production are completed by September 2.** Any narrowly necessary deposition can proceed on shortened notice if separately authorized under § 2025.270(d).

§ 3295(c) also preserves trial subpoenas and permits Defendants are required to identify relevant financial documents and the employed or related witnesses most competent to testify about them. Privacy likewise does not require denial after the heightened gateway is met. Plaintiffs seek the same narrow scope and protective terms already noticed, including tax returns only if less intrusive documents do not provide the same information; (First Amended Motion, page 15.)

§ 3294(a) ultimately requires clear and convincing proof of oppression, fraud, or malice. § 3295(c) directs the Court now to weigh the supporting and opposing affidavits and decide whether there is a "substantial probability" (*Jabro v. Superior Court* (2002) 95 Cal.App.4th 754, 758-760; *Kerr v. Rose* (1990) 216 Cal.App.3d 1551, 1565.) A prima facie showing is insufficient, but the order is expressly not a merits adjudication and may not be referred to at trial. Thus the ultimate burden informs the forecast; it is not itself a final punitive verdict at this stage.

CACI No. 3947 gives the operative definitions. "Malice" means intent to injure or despicable conduct done with willful and knowing disregard of another's rights; knowing disregard exists when the defendant is aware of probable dangerous consequences and deliberately fails to avoid them. "Oppression" means despicable conduct subjecting the plaintiff to cruel and unjust hardship in knowing disregard of rights. "Despicable conduct" is conduct so vile, base, or contemptible that reasonable people would look down on and despise it. "Fraud" means intentional material misrepresentation or concealment intended to harm; § 3294(c)(3) further includes intent to deprive a person of property or legal rights or otherwise cause injury. CACI No. 3947 (2026); Civ. Code, § 3294(c)(1)-(3).

These definitions, not generalized rhetoric, govern. Despicability is required for the conscious-disregard routes to malice and oppression. (*College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) Knowing disregard may be established by indirect evidence and inference from knowledge of probable consequences and a deliberate failure to avoid them. (*Pfeifer v. John Crane, Inc.* (2013) 220 Cal.App.4th 1270, 1299.) Fraud is a separate statutory route with no additional despicability element. Defendants' references to an "evil motive," crime-like conduct, or the "clearest of cases" therefore do not substitute for applying the statutory elements to this record.

The alleged fraudulent representations are concrete. Harnik declares that on June 13 Garcia said his client had accepted the settlement terms, and Harnik then confirmed that the parties had reached settlement "subject to a final agreement." (Samani Decl., Ex. B, Harnik Decl. para. 7; Plaintiffs' June 24 Compendium, Ex. 18.) On June 21 Garcia filed Form CM-200 stating, "This entire case has been settled," checked "Unconditional," and supplied June 20 as the settlement date. (Plaintiffs' June 24 Compendium, Ex. 21.) Those are alleged misrepresentations of accomplished client assent, not merely settlement prospects.

Defendants rely on Garcia's June 12 billing entry, "Spoke with client. He told me to settle case"; Opp. 10. (Samani Decl., Ex. A, Garcia Decl. para. 10.) Even credited, it identifies no accepted terms, abandonment of trial, or corporate approval. Garcia's same-day email described settlement as something that "can settle" if another term were accepted, while Harnik's response still awaited client agreement. (Defendants' MSJ Compendium, Ex. 4 at B-159.) Seavey states nondisclosure and player-roster terms remained open the next morning. (Seavey Decl. para. 6.) Those communications strongly support that Garcia knew further assent remained to be obtained when nevertheless he began reporting settlement as accomplished.

His later writings reinforce that inference. On June 14 Garcia still would follow up "when I speak with my client" while "considering the case settled also." (Plaintiffs' June 24 Compendium, Ex. 18.) On June 19 he described only "a pending resolution that has not been signed by all parties." (Id. Ex. 19.) On June 20 he wrote, "I cannot wait any longer. I have to advise the court the case

settled. I am going to put the date of settlement as of today." (Id., Ex. 20.) And on June 21, while still proposing edits, Garcia announced that he would file the notice. (Samani Decl., Ex. B, Harnik Decl. paras. 11-12 & Exs. K-L.) Continued redlining strongly supports that terms he had reported as settled remained under negotiation.

As noted by Plaintiffs, Seavey's representative role supplies no missing assent. Defendants admit the attorney-client relationship was with PDSSA. (Answer paras. 5, 9, 11-12. The fee agreement names "James W. Seavey (on behalf of Palm Desert Senior Softball Association)," but PDSSA's written authorization expressly reserved "the final decree/decision of the case" for board approval and the President's signature. (Plaintiffs' June 24 Compendium, Exs. 3-4, 6; Seavey Decl. para. 2.) Rule 1.13 identifies the organization as the client, Rule 1.2 reserves the settlement decision to the client, and *Blanton v. Womancare, Inc.* (1985) 38 Cal.3d 396, 404-406, distinguishes litigation authority from authority to compromise substantial rights. Garcia's admissions that board authority "was never discussed" and that he neither received nor sought a board resolution substantially undermine his present reliance claim. (Plaintiffs' June 24 Compendium, Ex. 16, Garcia Dep. 43:17, 65:11-15.)

Harnik corroborates what Garcia represented, not that it was true. He expressly states that he did not know Seavey's position or whether Seavey had agreed to all terms. (Samani Decl., Ex. B, Harnik Decl. para. 15.) The June 16 delivery of a document signed by every underlying Defendant instead shows the predictable effect of Garcia's representation: the adverse side created and delivered a fully executed instrument before PDSSA had approved anything; the submitted record identifies no contemporaneous objection from Garcia that execution was premature. (Id., para. 10 & Ex. J.) That one-sided posture increased pressure without proving assent. After the CM-200, Seavey immediately ordered Garcia to "undo whatever it is that you have done" because "You and I have not agreed [to] anything." (Plaintiffs' June 24 Compendium, Ex. 23.) Garcia did not correct it, but later asserted the false "derivative lawsuit" theory, displaced the board, and threatened withdrawal. (Id., Exs. 12, 24-25.)

That pattern arguably supplies the fraud elements without resting on the absence of signatures alone. The prospective language, incomplete client communication, ongoing negotiations, and absence of PDSSA approval support a strong inference that Garcia knew the settlement representations lacked the assent they purported to report. Their intended operation was to cause Harnik, the underlying defendants, and the Court to treat PDSSA's litigation as concluded. The existing motive evidence strengthens that inference: trial preparation had already been abandoned, an OSC addressed noncompliance, Garcia had been threatened personally with malicious prosecution, and the proposed release protected his office; Plaintiffs' June 24 Compendium, Exs. 1, 13-15, 26-27. The dismissal order later recited, "Notice of Settlement filed. No compliance with Local Rule 3401 prior to trial"; id., Ex. 33. The record thus makes intentional material misrepresentation intended to deprive Plaintiffs of property or legal rights or otherwise cause injury very likely under § 3294(c)(3).

Malice through conscious disregard requires both knowing disregard and despicability. The relevant pattern is not one mistaken email: Garcia chose not to complete court-ordered trial preparation, converted conditional negotiations into asserted settlement, permitted the adverse side to deliver a fully executed agreement, filed an unconditional CM-200, refused correction after immediate repudiation, displaced PDSSA's reserved authority through false legal advice, and threatened withdrawal to obtain after-the-fact validation. CACI No. 3947's recognition that a pattern or practice and trickery or deceit bear on reprehensibility explains why those acts should be evaluated together.

The knowing-disregard component is particularized. Garcia knew PDSSA was the entity client, trial remained scheduled, the Rule 3401 materials were not completed, and negotiations and

client communication remained unfinished. He knew an unconditional settlement notice would cause the Court and adversaries to treat trial as displaced, and after Harnik had every defendant sign he knew that instrument and the CM-200 would narrow PDSSA's practical choices. Yet he deliberately failed to avoid those probable consequences: he did not stop the defense-side execution, filed the notice, refused correction, and kept pressing for a signature. Plaintiffs are right that those facts fit CACI's definition of knowing disregard rather than inadvertence.

The pattern also could reasonably be viewed as vile, base, or contemptible. An attorney may advise that trial is expensive or unwise; what reasonable people could despise is using the fiduciary position to substitute the attorney's own disposition for the organizational client's, misstate the client's decision to the adversary and Court, allow that representation to generate a fait accompli, and then exploit the resulting posture. Self-protection adds to the reprehensibility: Garcia faced the OSC, opposing counsel had threatened him personally with malicious prosecution, and the proposed release protected his office; Plaintiffs' June 24 Compendium, Exs. 1, 26-27. *Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1093-1096, recognizes the punitive significance of an attorney preferring personal interests in settlement conduct. This evidence creates a strong likelihood of despicable conduct carried on with willful and knowing disregard of PDSSA's rights.

Oppression additionally requires cruel and unjust hardship in knowing disregard of rights. Defendants rely on Seavey's testimony that Vern could be consulted "after the fact." (Opp. 10.) But immediately before the excerpt Defendants quote, Seavey testified that no vote was taken "Because Mr. Garcia intimidated me so badly that I forced my wife to sign the document without sitting down and meeting with everybody," and then confirmed, "Yeah, I forced her to sign it"; (Samani Decl., Ex. B, Defendants' MSJ Compendium, Ex. 21 at B-217-218.) That defense-submitted testimony directly rebuts treating the later signature as proof of a freely completed client decision.

As noted by Plaintiffs, Garcia knew the pressure fell on financially exposed individuals. Garcia knew that Seavey and Norris had loaned PDSSA retirement savings, and Seavey had told him that doing so cost them interest on which they depended for income. (Plaintiffs' June 24 Compendium, Ex. 5; Seavey Decl. paras. 3-5; Norris Decl. paras. 2, 6.) The Motion identified them as elderly directors, and Garcia invoked Seavey's heart surgery and health when arguing against trial. (First Am. Mot. 1-3, 13; Plaintiffs' June 24 Compendium, Ex. 14.) Norris had never spoken or written with Garcia before signing, yet the ultimatum reached her through Seavey. (Norris Decl. paras. 3-4; Samani Decl., Ex. A, Garcia Decl. para. 13.) Using the lawyer-created posture and threatened abandonment to drive that pair toward a signature supplies concrete cruel and unjust hardship, while Garcia's knowledge of their funding, the health context, the unprepared trial, and the predictable consequences supports knowing disregard. The same facts reinforce despicability and make oppression independently very likely.

Defendants' remaining punitive authorities do not reduce this record to negligence. (*Smith v. Superior Court* (1992) 10 Cal.App.4th 1033, 1041-1042, addressed conclusory pleading allegations.) This Motion rests on sworn testimony, admissions, court filings, and contemporaneous communications. (*American Airlines, Inc. v. Sheppard, Mullin, Richter & Hampton* (2002) 96 Ca1.App.4th 1017, 1050-1053, turned on its particular evidentiary record; here the alleged deception is tied to contemporaneous knowledge, persisted after express correction, and is alleged to have displaced PDSSA's trial and settlement rights. *Henderson, Tomaselli, Beck, and Rawnsley* counsel caution but cannot add elements to section 3294(c). *Jabro* requires the Court to weigh this particularized proof, not dismiss it as a malpractice label.

In addition, Rule 3.1385 and candor duties do not establish settlement. Rule 3.1385(a)(1) begins, "If an entire case is settled or otherwise disposed of"; the notice duty follows that predicate.

Plaintiffs do not contend every settlement requires an executed writing; they rely on open negotiations, unfinished client communication, no Seavey assent to the asserted walkaway, and no PDSSA approval. (*People v. Williams* (2022) 75 Cal.App.5th 584 and *Levine v. Berschneider* (2020) 56 Ca1.App.5th 916 concern candor, not authority to settle an organizational client's case. Rule 3.3's correction duty is consistent with Plaintiffs' reliance on Garcia's failure to correct the CM-200 after immediate repudiation.

Finally, the Opposition's corporate history, family relationships, historical demands, and merits narrative are collateral to assent and punitive state of mind. Counsel was free to advise that claims were weak, remedies unrealistic, or trial expensive; those opinions did not transfer PDSSA's settlement decision to counsel. Nor do *Morrison Knudsen Corp. v. Hancock, Rothert & Bunshoft* (1999) 69 Ca1.App.4th 223 or *Skarbrevik v. Cohen, England & Whitfield* (1991) 231 Cal.App.3d 692 establish authority that the entity expressly reserved. Plaintiffs do not claim Garcia represented every director individually; they rely on PDSSA's entity rights and the individual Plaintiffs' rights and harms already presented in the Motion. Factual disputes call for weighing under section 3295(c), not automatic denial.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2407578	HEATH VS CITY OF PALM SPRINGS	HEARING RE: MOTION TO COMPEL PERSON(S) MOST KNOWLEDGEABLE DEPOSITION AND DOCUMENTS

Tentative Ruling: No tentative ruling. Hearing will be conducted on Monday, August 24, 2026 at 8:30 a.m., Department PS2.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2407621	ESCAMILLA VS AMERICAN HONDA MOTOR CO., INC., A CALIFORNIA CORPORATION	HEARING ON MOTION FOR SUMMARY ADJUDICATION ON COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF JOSE M. ESCAMILLA BY AMERICAN HONDA MOTOR CO., INC., A CALIFORNIA CORPORATION

Tentative Ruling: Granted.

Moving party to file proposed judgment within 10 days of this order becoming final.

Moving party to provide notice pursuant to CCP 1019.5.

In November of 2022 Plaintiffs Jose Escamilla and Lisset Acosta purchased a used 2020 Honda Civic manufactured by defendant American Honda Motor Co. and sold by Unicars Honda, an independently-owned dealership. When the vehicle had first been sold, it had come with a standard new vehicle limited warranty, which had not expired at the time the plaintiffs purchased the vehicle. In addition, plaintiffs received a Certified Pre-Owned Vehicle warranty. The terms of the CPO Warranty have not been described in detail to the court; however, in discovery responses Honda admitted "that it provided an express limited Certified Pre-Owned Warranty for the SUBJECT VEHICLE at the time of ... Plaintiffs' purchase." (Defendant's response to RFA #7, Virasingh declaration, Exhibit "2".)